

BUSINESS MANAGEMENT MODEL EXAMINATION (IUC BUMA)

All business organizations need finance. Among the different source of finance, which one can be considered as the least source of finance for entrepreneurial ventures?

- ☐ a. Permanent Capital
- ☐ b. Borrowing
- ☐ c. Asset Finance
- ☐ d. Working Capital

In which of the social responsibility approach, managers choose not to be socially responsible?

- ☐ a. Defensive
- ☐ b. Obstructionist
- ☐ c. Accommodative
- ☐ d. Reactive

Which one of the stakeholders is highly concerned with financial statement analysis to protect their job securities?

- ☐ a. Government
- ☐ b. Managers
- ☐ c. Investors
- ☐ d. Employees

The process of evaluating market segments attractiveness and selecting feasible one is termed as_____.

- ☐ a. Business market
- ☐ b. Market research
- ☐ c. Market segment
- ☐ d. Target market

From the data given below, compute the Arithmetic mean for the statistical distributions table. Class Mark 1-5 6-10 11-15 16-20 Frequency 4 3 1 2

- ☐ a. 9.5 Mark
- ☐ b. 7.5 Mark
- ☐ c. 8 Mark
- ☐ d. 9 Mark

Which one of the following is not the advantage of personal computers?

- ☐ a. Lags business operations effectiveness
- ☐ b. Make our lives more productive
- ☐ c. Could cause us to lose some of our basic skills
- ☐ d. Takes away some of the boring tasks that we have to perform

Which one of the following source of recruitment is less costly than the others?

- ☐ a. Employee Referral
- ☐ b. Advertisement
- ☐ c. Job Posting
- ☐ d. Using Agencies

The shift towards a more integrated and interdependent world economy is_____.

- ☐ a. Ethical theory
- ☐ b. Localization
- ☐ c. Standardization
- ☐ d. Globalization

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_____is the unorganized raw facts and figures.

- ☐ a. Data
- ☐ b. Snapshot
- ☐ c. Reports
- ☐ d. Information

From the following alternatives, identify the component not involved in downward communication.

- ☐ a. Indoctrinations
- ☐ b. Manipulations
- ☐ c. Job instructions
- ☐ d. Job rational

An investor wants to invest in A, B, C and D businesses operations. The expected return on each investment, given low medium high market demands. Consider information for the investment conditions given in the following payoff table and identify which is investor's choice if "MAXMAX" decision making approach is used?

- ☐ a. Alternative "A"
- ☐ b. Alternative "B"
- ☐ c. Alternative "C"
- ☐ d. Alternative "D"

The ability of firms to readily accommodate demand change by changing product items and volume is known as _____.

- ☐ a. Time lines
- ☐ b. Competitiveness
- ☐ c. Flexibility
- ☐ d. Cost leadership

A business enterprise wants to run printing press service and the operation costs Birr 50,000 to set up the presses and machinery needed to print and bind a paperback book. After setup, it costs Birr 5 per book printed and bound. Assume that the business starts its operation and printed 20,000 books. Therefore, what will be the operation's average cost?

- ☐ a. 4000
- ☐ b. 5
- ☐ c. 7.5
- ☐ d. 2.5

Which of the following is not valuable in upward communication?

- ☐ a. Subordinates' achievement
- ☐ b. Performance achieved by higher officials
- ☐ c. Unsolved job related problems of workers
- ☐ d. Job related feeling and attitudes of workers

Identify the criterion which is not considered in judging manageability of individuals at managerial positions.

- ☐ a. Approaches employed
- ☐ b. Ethnic background
- ☐ c. Possessed skills
- ☐ d. Decision making

Which one of the following is used in finding initial feasible solutions of transportation problems?

- ☐ a. Vogel's approximation
- ☐ b. Simplex approach
- ☐ c. Stepping stone path
- ☐ d. Modified distribution

In which one of the following organizational goals is, using external sources for recruitment is considered as effective for organization?

- ☐ a. To reduce orientation and training cost
- ☐ b. To gain new knowledge and experience
- ☐ c. To develop loyal employees
- ☐ d. To increase existing employees moral

Which one of the following is not the negative result of inadequate control of inventories?

- ☐ a. The low sales volume
- ☐ b. Customers dissatisfaction
- ☐ c. Low inventory cost
- ☐ d. Production bottlenecks

Which type of data can be gathered by interview technique?

- ☐ a. Published data
- ☐ b. Secondary data
- ☐ c. Tertiary data
- ☐ d. Primary data

Which one is not among the reasons why many people engaged in conducting research regardless of its difficulties?

- ☐ a. To be respected and promoted
- ☐ b. Government direction
- ☐ c. To get degree with its consequential benefit
- ☐ d. Employment condition

ABC Company decides to have seating chairs. To acquire these seating chairs the company has two options. One option is making at home and the other option is to purchase from the market. To make at home, company must require machines that costs 40000 birr. The seating chairs are currently purchased at birr 300 birr. If the company decides to make at home labor, materials and overhead, cost estimated at 200 birr per chair. Annual demand is estimated as 1000 units. Then, what is the breakeven volume where it becomes profitable to produce them rather than to buy from a supplier?

- ☐ a. 600 chairs
- ☐ b. 500 chairs
- ☐ c. 400 chairs
- ☐ d. 300 chairs

According to UNIDO'S project cycle, in which stage/phase is detail consultation and engineering work required?

- ☐ a. Feasibility study
- ☐ b. Operating phases
- ☐ c. Investment phases
- ☐ d. Appraisal report phases

The marketing philosophy that consumers will favor products those are available and highly affordable in market is_____.

- ☐ a. Societal concept
- ☐ b. Marketing concept
- ☐ c. Product concept
- ☐ d. Production concept

Among random sampling techniques, which method is commonly used by data collectors in production processes, business surveys, and for selecting items from files?

- ☐ a. Cluster sampling
- ☐ b. Stratified sampling
- ☐ c. Simple random sampling
- ☐ d. Systematic sampling

Which one of the following describes the component of business mission which deals with where does the firm compete?

- ☐ a. Philosophy
- ☐ b. Technology
- ☐ c. Customers
- ☐ d. Product

The marketing mix which marketing managers need to investigate awareness from customer's side is_____.

- ☐ a. Promotion
- ☐ b. Place
- ☐ c. Price
- ☐ d. Product

Which one is not among the primary criteria of supplier evaluations?

- ☐ a. Quality
- ☐ b. Cost/price
- ☐ c. Delivery
- ☐ d. Quantity

Which one of the following is not favorable condition to increase productivity of particular organization?

- ☐ a. less motivated workforce
- ☐ b. Improved labor force
- ☐ c. Better Management
- ☐ d. Technological advancement

Which one of the following is not among assumptions of LPM?

- ☐ a. Linearity
- ☐ b. Certainty
- ☐ c. Continuity
- ☐ d. Uncertainty

_____ is on the job- training method, by which human resources manager focuses on listing each job's basic tasks, along with key points, in order to provide systematic training for employees.

- ☐ a. Job rotation
- ☐ b. Special projects
- ☐ c. Job Instruction
- ☐ d. Internship

Unwelcomed behavior of a sexual nature perpetrated upon one individual by another is_____.

- ☐ a. Discrimination
- ☐ b. Grievance
- ☐ c. Harassment
- ☐ d. Bribery

Which one of the following best describes abstract form representation of linear programming problems?

- ☐ a. Statistical model
- ☐ b. Linear programming model
- ☐ c. Linear function model
- ☐ d. Mathematical model

From the data below, what is the mean class for the statistical distributions table? Class Mark 1-5 6-10 11-15 16-20
Frequency 4 3 1 2

- ☐ a. 3rd class
- ☐ b. 1st class
- ☐ c. 4th class
- ☐ d. 2nd class

From the following statements, which one is not favorable condition for centralized purchasing approach?

- ☐ a. Is more appropriate if technical aspect is not required
- ☐ b. Is more appropriate if knowledge is not important
- ☐ c. Is more appropriate for large organization in terms of size
- ☐ d. Is more appropriate for small organization in terms of size

Among product development cycle, the stage by which product will offer for the market is _____.

- ☐ a. Market testing
- ☐ b. Concept development
- ☐ c. Idea development
- ☐ d. Commercialization

Which of the following ratio indicate the degree to which assets of the firms employed efficiently?

- ☐ a. Liquidity ratio
- ☐ b. Debt management ratio
- ☐ c. Profitability ratio
- ☐ d. Activity ratio

Which one of the following is a set of moral principles that distinguish what is right from what is wrong?

- ☐ a. Legal
- ☐ b. Ethics
- ☐ c. Principle
- ☐ d. Rules

The result of Environmental Analysis indicates that projects are promising and for further work to be justified. The next step will be.

- ☐ a. Pre – feasibility study
- ☐ b. Feasibility study
- ☐ c. Preliminary screening
- ☐ d. Identification

Which of the following clearly states the reasons why individuals separated from the organization or employer?

- ☐ a. Privileges
- ☐ b. Retirement
- ☐ c. Layoffs
- ☐ d. Discharge

Among the different type of leverage ratios, which one measure the earning power of a firm with respect to given level of sales, total assets, and owner's equity?

- ☐ a. Return on investment
- ☐ b. Fixed charges coverage
- ☐ c. Profitability ratio
- ☐ d. Return on Asset

Which one of the following ethical theory focuses on and view duties as it have a good or bad morality regardless of the outcomes they produce?

- ☐ a. Teleological theory
- ☐ b. Deontological theory
- ☐ c. Egoism theory
- ☐ d. Relativism theory

Which staffing function is difficult task for human resource manager in the condition of high unemployment rate?

- ☐ a. Orientation
- ☐ b. Selection
- ☐ c. Procurement
- ☐ d. Training

Which one of the following comes first in the business purchasing process?

- ☐ a. Key sourcing
- ☐ b. Need recognition
- ☐ c. Providing requisition
- ☐ d. Supplier selection

Finance function involves_____.

- ☐ a. Procurement of finance only
- ☐ b. Procurement and effective utilization of fiancé
- ☐ c. Expenditure of funds only
- ☐ d. Safe custody of funds only

Based on World Bank classification of project life cycle, after promising project ideas has been selected and pre-feasibility study completed; the next step will be critically reviewing different aspects of the project. From this, which one is among the different aspect of the project priority area of World Bank?

- ☐ a. Commercial aspect
- ☐ b. Technical aspect
- ☐ c. Environmental aspect
- ☐ d. Financial aspect

Which one of the following is not the reason for small business success?

- ☐ a. Managerial incompetency
- ☐ b. Adequate Credit Assistance
- ☐ c. Conducive Environment
- ☐ d. Markets and Marketing Support

When product and service design are in every functional area of an organization. Mainly which functional area involved more?

- ☐ a. Marketing and finance
- ☐ b. Marketing and purchasing
- ☐ c. Finance and purchasing
- ☐ d. Operation and finance

Comprehensive business mission is significant for all of the following except_____.

- ☐ a. Enduring statement of purpose
- ☐ b. Effective establishing of objectives
- ☐ c. Declares the firm's reason for being
- ☐ d. Encourage potential competitors

Among the basic goals of financial management, which one can be considered as modern approach?

- ☐ a. Maximization of profits
- ☐ b. Current revenue Maximization
- ☐ c. Ensuring financial discipline in the organization
- ☐ d. Maximization of shareholders' wealth

During project screening phase, project ideas are accepted if _____.

- ☐ a. the project idea must be compatible with promoter interest
- ☐ b. project goal is inconsistent with national goals and priorities
- ☐ c. the current size of the market must offer the prospect of inadequate sales volume
- ☐ d. capital requirements of the project is beyond manageable limits

A report prepared in a prescribed form and presented according to an established procedure is termed as_____.

- ☐ a. Informal report
- ☐ b. Statutory report
- ☐ c. General report
- ☐ d. Formal report

Among the following data, which one cannot be considered as statistics?

- ☐ a. The percentage of undergraduates attending AAU
- ☐ b. The number of death due to HIV AIDS
- ☐ c. Student's attitude toward cost sharing
- ☐ d. The number of car accidents occurred

Competitive advantage is anything that can advance a certain business organization has over their competitors. Which one is, rarely considered as competitive advantage?

- ☐ a. New product & technology
- ☐ b. Suitable location
- ☐ c. Managerial skill
- ☐ d. Knowledge

Why do you think that the message sent is not always the same as the meaning attached to the message?

- ☐ a. Wrong sender
- ☐ b. Wrong medium
- ☐ c. Faulty message
- ☐ d. Inaccurate decoding

In which of the following cost leadership strategy will be effective?

- ☐ a. Buyers have insignificant bargaining power
- ☐ b. Switching cost for buyer high
- ☐ c. Few number of buyers in the market
- ☐ d. Market place is dominated by price competition

The source of power which authorizes managers from occupying certain managerial position in the organizational hierarchy and direct resources toward the achievements of common goal is_____.

- ☐ a. Legitimate
- ☐ b. Reward
- ☐ c. Expert
- ☐ d. Coercive

Which one of the following is categorized in dilemmas of business ethics?

- ☐ a. Transparency
- ☐ b. Accountability
- ☐ c. Profanity
- ☐ d. Optimization

For effective inventory control, decision has made that which inventory items are little things and which need more careful control. From ABC inventory class, which inventory item, needs tight control?

- ☐ a. B items
- ☐ b. A items
- ☐ c. C items
- ☐ d. A&B items

Which of the following condition is not expected for the existence of research problem?

- ☐ a. Existence of difficulty facing organizations
- ☐ b. Environments pertaining difficulty
- ☐ c. Existence of difficulty facing individuals
- ☐ d. Realized objectives of organizations

The component of marketing concept which describes desires of specific satisfiers of needs is_____.

- ☐ a. Product
- ☐ b. Need
- ☐ c. Demand
- ☐ d. Want

A formal document that presents the research objectives, design of achieving these objectives, and the expected outcomes/deliverables of the study is called_____.

- ☐ a. Research report
- ☐ b. Research hypothesis
- ☐ c. Research proposal
- ☐ d. Research design

The most recommended strategy for business firms internally weak and facing full threat firm external environment will be_____.

- ☐ a. concentric strategy
- ☐ b. vertical integration strategy
- ☐ c. retrenchment strategy
- ☐ d. growth strategy

Among the beneficiaries of entrepreneurial wealth, which one contribute for physical and mental labor?

- ☐ a. Employees
- ☐ b. Government
- ☐ c. Supplies
- ☐ d. Society

Which of the following is not among problem identification process in research work?

- ☐ a. Review of existing literature
- ☐ b. Management decision making
- ☐ c. Theoretical foundation and model building
- ☐ d. Discussion with subject experts

Which one of the following variable is considered as leaving variable in solving LPP when simplex approach employed?

- ☐ a. The variable with $\geq$ value in quantity column
- ☐ b. The with minimum positive RR value
- ☐ c. The variable with maximum positive value in C-Z row
- ☐ d. The variable with $\leq$ value in C-Z row

Identify the correctly sequenced market segmentation from general to specific.

- ☐ a. Mass marketing ____Micro market ____Niche Market____Segment marketing
- ☐ b. Mass marketing ____Segment marketing ____Niche marketing____Micro marketing
- ☐ c. Mass marketing ____Niche marketing ____Segment marketing____Micro marketing
- ☐ d. Mass marketing ____Segment market ____Niche Market ____Micro marketing

All are attributes of standardization in business world except_____.

- ☐ a. Increase quality
- ☐ b. Allow customization
- ☐ c. Enable mass production
- ☐ d. Increase inventories

The strategic management approach which gives great weight for internal capacity of the organization in strategy formulation and implementation is _____.

- ☐ a. Resource based
- ☐ b. Industrial based
- ☐ c. Competition based
- ☐ d. Organizational based

Which one of the following can be considered as the dominant reason for small business failures in Ethiopia?

- ☐ a. High level of taxation
- ☐ b. Lack of adequate finance and credit
- ☐ c. Low commitment
- ☐ d. Low demand

The director of the PHD program at Addis Ababa University has 16 applications for admission. The composite scores of the applicants out of 40 mark are: 15 32 26 27 29 27 25 25 29 30 31 32 34 35 32 32 16 29 25 29 32 10 27 32 30 31 32 33 32 33 34 33 Then, how many classes would you recommend for above statistical distributions?

- ☐ a. 6 classes
- ☐ b. 3 classes
- ☐ c. 5 classes
- ☐ d. 4 classes

Which adjusting capacity strategies are appropriate when demand exceeds expectations for the final products?

- ☐ a. Subcontracting strategy
- ☐ b. Chase demand strategy
- ☐ c. Subcontracting strategy
- ☐ d. Level Production strategy

Among the following aspect of a project, all belongs to technology, except_____.

- ☐ a. Access to technical know
- ☐ b. Building a new plant
- ☐ c. Emergence of new technologies
- ☐ d. Purchasing power

The flow of information through Management Information System is_____.

- ☐ a. Organizational dependent
- ☐ b. Need dependent
- ☐ c. Management dependent
- ☐ d. Information dependent

Which one of the following is not among the types of purchasing?

- ☐ a. Hand to mouth purchasing
- ☐ b. Forward purchasing
- ☐ c. Backward purchasing
- ☐ d. Speculative purchasing

The informal type of communication transmitting the message from one individual to all members to minimize information distortion is_____.

- ☐ a. Single stand chain
- ☐ b. Cluster
- ☐ c. Probability chain
- ☐ d. Gossip chain

Consider the following transportation problem and if LCM is used to find solution of the problem, what will be the total transportation cost?

- ☐ a. 15,750
- ☐ b. 14,000
- ☐ c. 12,900
- ☐ d. 13,900

Managers are expected to play varieties of roles for the wellbeing of their organization and communities and activity based resource allocation is among these roles. If so, in which management role you categorize it?

- ☐ a. Informational role
- ☐ b. Decisional role
- ☐ c. Monitor role
- ☐ d. Interpersonal role

Among statistical data collection process, the stage in which data classification, arrangement and editing takes place is termed as _____.

- ☐ a. Data Analysis
- ☐ b. Data presentation
- ☐ c. Data organization
- ☐ d. Data collection

What are the major competing inventory costs in material management?

- ☐ a. Order and holding costs
- ☐ b. production and marketing costs
- ☐ c. Salary and overhead costs
- ☐ d. Promotion and distribution costs

One of the following is not among quality assurance contrasted with control in that purchase assurance includes all the activities associated with the attainment of quality.

- ☐ a. Motivation of all concerned
- ☐ b. Design and specification
- ☐ c. Inspection and testing
- ☐ d. Assessment of buyers

The dean of the Master's program at St. Mary's University has 16 applications for admission. The composite scores of the applicants out of 40 marks are: 15 32 26 27 29 27 25 25 29 30 31 32 34 35 32 32 16 29 25 29 32 10 27 32 30 31 32 33 32 33 34 33 Therefore, what is the median class from the above statistical distribution?

- ☐ a. 2nd class
- ☐ b. 3rd class
- ☐ c. 4th class
- ☐ d. 1st class

Determination of the number, type and future requirement of personnel refers to_____.

- ☐ a. Human resource planning
- ☐ b. Action Plans
- ☐ c. Manpower Inventory
- ☐ d. Procurement function

All of the following are decision making techniques in risky situations except_____.

- ☐ a. Expected value of Breakeven analysis
- ☐ b. Expected value of perfect information
- ☐ c. Expected opportunity loss
- ☐ d. Expected monetary value

The skills required by managers to undertake planning process to come up with goals to be realized with appropriate courses of action is _____.

- ☐ a. Communication skill
- ☐ b. Technical skill
- ☐ c. Forecasting skill
- ☐ d. Interpersonal skill

Which one of the following best describes a summary of educational and academic backgrounds as well as experience, awards, honors and affiliations of an individual?

- ☐ a. History
- ☐ b. Application letter
- ☐ c. Curriculum vitae
- ☐ d. Resume

_____is the linear programming assumption which states that the value assigned to each parameter of a linear programming model is assumed to be known constant.

- ☐ a. Centrality
- ☐ b. Certainty
- ☐ c. Proportionality
- ☐ d. Non negativity

Which group of buyers mainly purchases the product for resale?

- ☐ a. Governmental Institutions
- ☐ b. service manufacturing firms
- ☐ c. Governmental agencies
- ☐ d. Business organization

Which one of the following is not among objectives of Management Information System?

- ☐ a. Support decision making
- ☐ b. Facilitating decision making process
- ☐ c. Recruit people for system
- ☐ d. Provide requisite information at any management level

The comprehensive managerial system that integrates key managerial activities in a systematic manner and consciously directed toward the effective and efficient achievement of organizational and individual objectives is_____.

- ☐ a. Centralized system
- ☐ b. Focus group discussion
- ☐ c. Management by objectives
- ☐ d. Establishment of objectives

Which one of the following criterion is not effective in market segmentation?

- ☐ a. Substantiality
- ☐ b. Measurability
- ☐ c. Partiality
- ☐ d. Action-ability

Which location is suitable for service giving organization?

- ☐ a. Resource
- ☐ b. Near terminal
- ☐ c. low labor cost
- ☐ d. Near to market

All of the following are forms of scientific methods except_____.

- ☐ a. Functional
- ☐ b. Induction
- ☐ c. Structural
- ☐ d. Comparative

Among the different promotional mix elements, which one can be appropriate if the goal of the organization is to influence buyers to buy the product?

- ☐ a. public relation
- ☐ b. personal selling
- ☐ c. Advisement
- ☐ d. sales promotion

Which one of the following is not considered to evaluate supplier's management capability?

- ☐ a. Labor-management relation practices
- ☐ b. Purchase requisitions
- ☐ c. Commitment to total quality
- ☐ d. Strategic sourcing

The business strategy affecting the whole units of business operations and developed by top or general managers of the organization is_____.

- ☐ a. corporate level strategy
- ☐ b. operational level strategy
- ☐ c. global level strategy
- ☐ d. business level strategy

Which of the following equate the quantity consumers are willing and able to buy with the quantity suppliers are willing and able to supply?

- ☐ a. Break even analysis
- ☐ b. Market research
- ☐ c. Cost-output relations
- ☐ d. Market equilibrium

Mr. Abebe is considering a capital investment for which the initial outlay is Br100, 000. Net annual cash inflows (before taxes) to be predicted to be Br 20, 000 for 10 years. Straight-line depreciation used with an estimated salvage value of zero. By ignoring income taxes how many years it takes to cover initial investment cost? Compute the payback period.

- ☐ a. 10 Years
- ☐ b. 5 Years
- ☐ c. 9 Years
- ☐ d. 8 Years

Which one of the following is not the nature of programmed decision?

- ☐ a. Solutions are predictable
- ☐ b. Standard procedures
- ☐ c. Routine activities
- ☐ d. Unstructured procedures

Which one of the following is not the option that operation manager use to make productivity ratio large?

- ☐ a. Make the output larger for the same input
- ☐ b. Increase input and output with the proportion
- ☐ c. Increase the output while decreasing the input
- ☐ d. Make the inputs smaller for the same output

Consider a manufacturer that has a fixed cost of Birr 100,000 and a variable cost of Birr 30 per unit made and sold at selling price of Birr 50 per unit. Then, what is the manufacturer profit if 4000 items produced and sold?

- ☐ a. 200,000
- ☐ b. -20,000
- ☐ c. 220,000
- ☐ d. -50,000